THE MICROMOGULS

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RAMAKRISHNA N.K., 50
Bengaluru

FACT SHEET

Name of company
Rang De

What they do
A peer-to-peer lending platform

Founded in: 2008

Annual turnover
Rs 3.6 crore



CREDIT GOES TO THEM Ramakrishna and Smita at a farm in Bengaluru

forces them towards moneylenders who charge ruinous rates of 60–100 per cent per annum, or microfinance institutions and NBFCs where rates rarely dip below 24 per cent.

It was this stark reality that nudged Smita Ramakrishna and her husband, Ramakrishna N.K., to launch Rang De in 2008. The couple was based in the UK—Smita worked with the Oxfordshire County Council, while Ramakrishna was with a software firm—when the idea of microcredit caught their imagination after Muhammad Yunus and his Grameen Bank won the 2006 Nobel Peace Prize. From the outset, their plan was to save money, return to India, and build something in the social sector. The result was a not-for-profit peer-to-peer (P2P) lending platform aimed at bridging "two Indias"—the socially conscious urban investor and the rural entrepreneur cut off from banks. "We realised how credit, when given on fair terms, can help people overcome poverty," Smita recalls. Starting with Rs 4.5 lakh of their own savings, they found support in ICICI Foundation and Tata Trusts.

Unlike standardised bank loans, Rang De's products were built with flexibility. Farmers, for instance, don't earn monthly incomes and can't commit to fixed EMIs, while artisans or tailors can. So, the platform created customisable solutions—today offering more than 42 loan products designed around borrowers' livelihoods. "The idea was not only to make credit affordable, but also to give agency to the community—wherein they get access to credit on their terms," says Ramakrishna.

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The journey was not without breaks in the linear path. In 2017, after the RBI rolled out new guidelines for P2P lending, Rang De paused operations for a year. It transitioned from a not-for-profit to a regulated NBFC P2P, building in compliance while holding on to its mission of accessible, affordable credit.

The platform works through partnerships with livelihood and skilling organisations—among them Manjari Foundation, The Goat Trust, Youth-4Jobs Foundation and Mithun Rural Development Foundation—besides government programmes. These partners carry out the first level of physical verification of potential borrowers, while Rang De conducts a scorecard-based evaluation for risk mitigation and credit decisions. How does it earn? Via a platform fee for offering 'credit as a service' to the 'impact partners'. Its turnover? Rs 3.6 crore in FY25.

Over time, the model has gained remarkable traction. As many as 11,123 social investors have lent Rs 96.7 crore to 26,516 entrepreneurs—helping them expand shops, build farms, or start new ventures. Investors can begin with as little as Rs 500 or go up to Rs 10 lakh, earning modest interest while creating sustainable impact.

For borrowers, Rang De's appeal lies in its fairness. Interest rates range from 8-8.5 per cent annually, plus a 2 per cent processing fee. No hidden documentation, no insurance charges and no penalties for late payment or foreclosure. "Instead, late repayments reflect on the borrower's credit score—itself a good deterrent," explains Ramakrishna. No wonder, loan write-offs have been minimal—just 0.33 per cent of total disbursals, amounting to Rs 31.7 lakh. In the next five years, the founders hope to reach over 2 million households with affordable credit and, with it, the chance for many more like Neilhoupeu and Gita to rewrite their stories. ■